

Business Communication

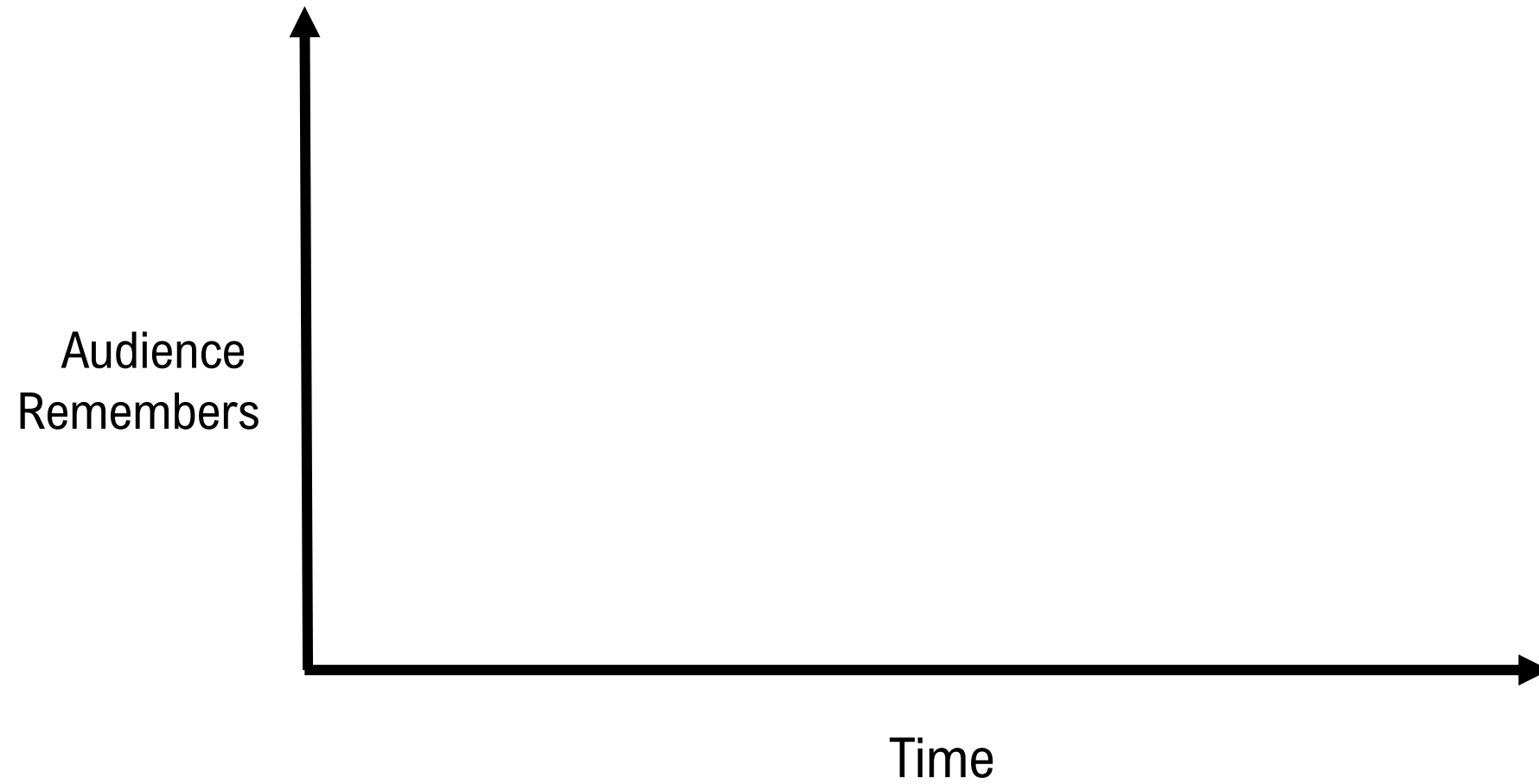
Developing your Executive Summary and Storyboard

Professor Courtney Pierson





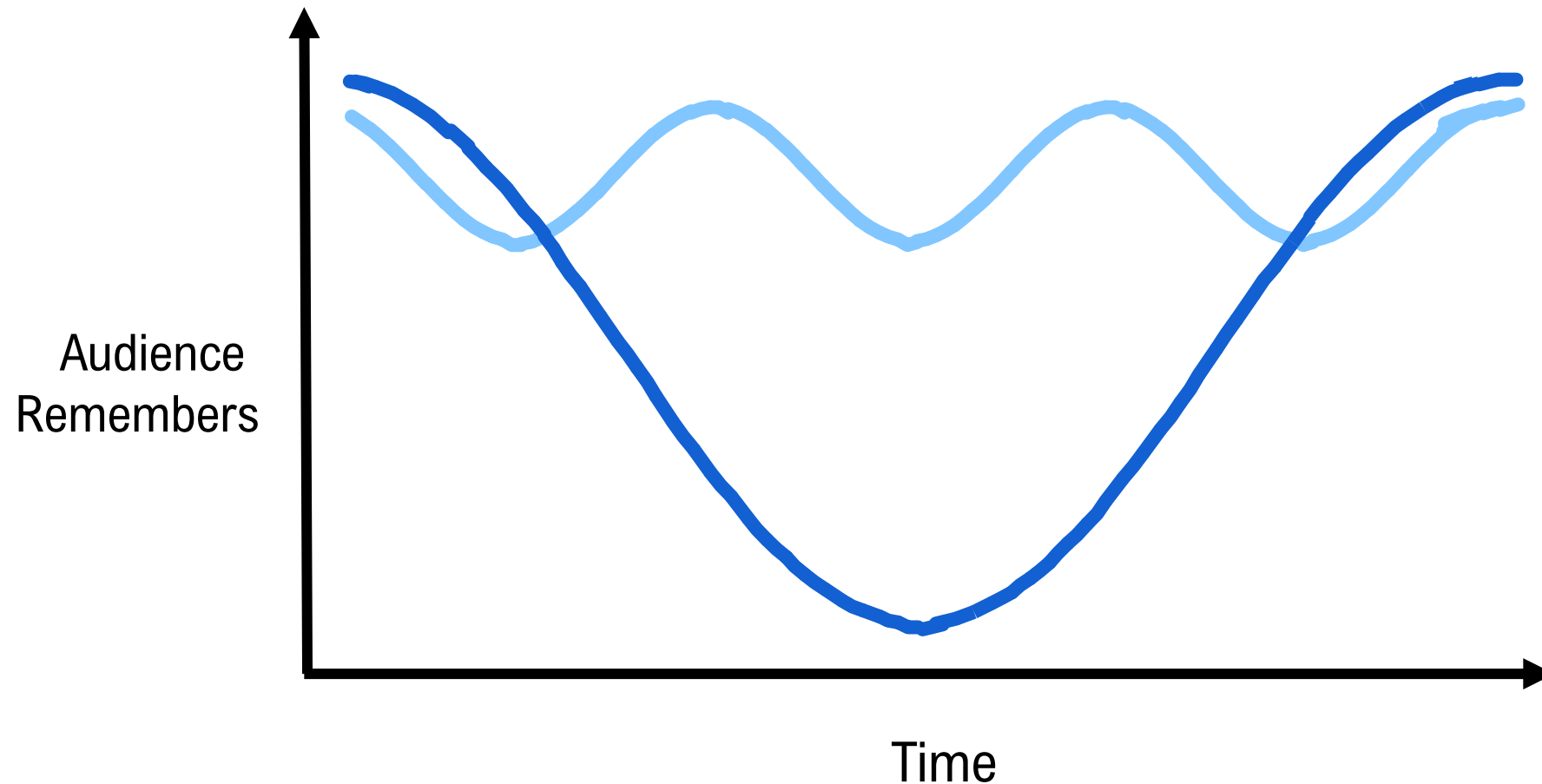
Audience Memory Curve



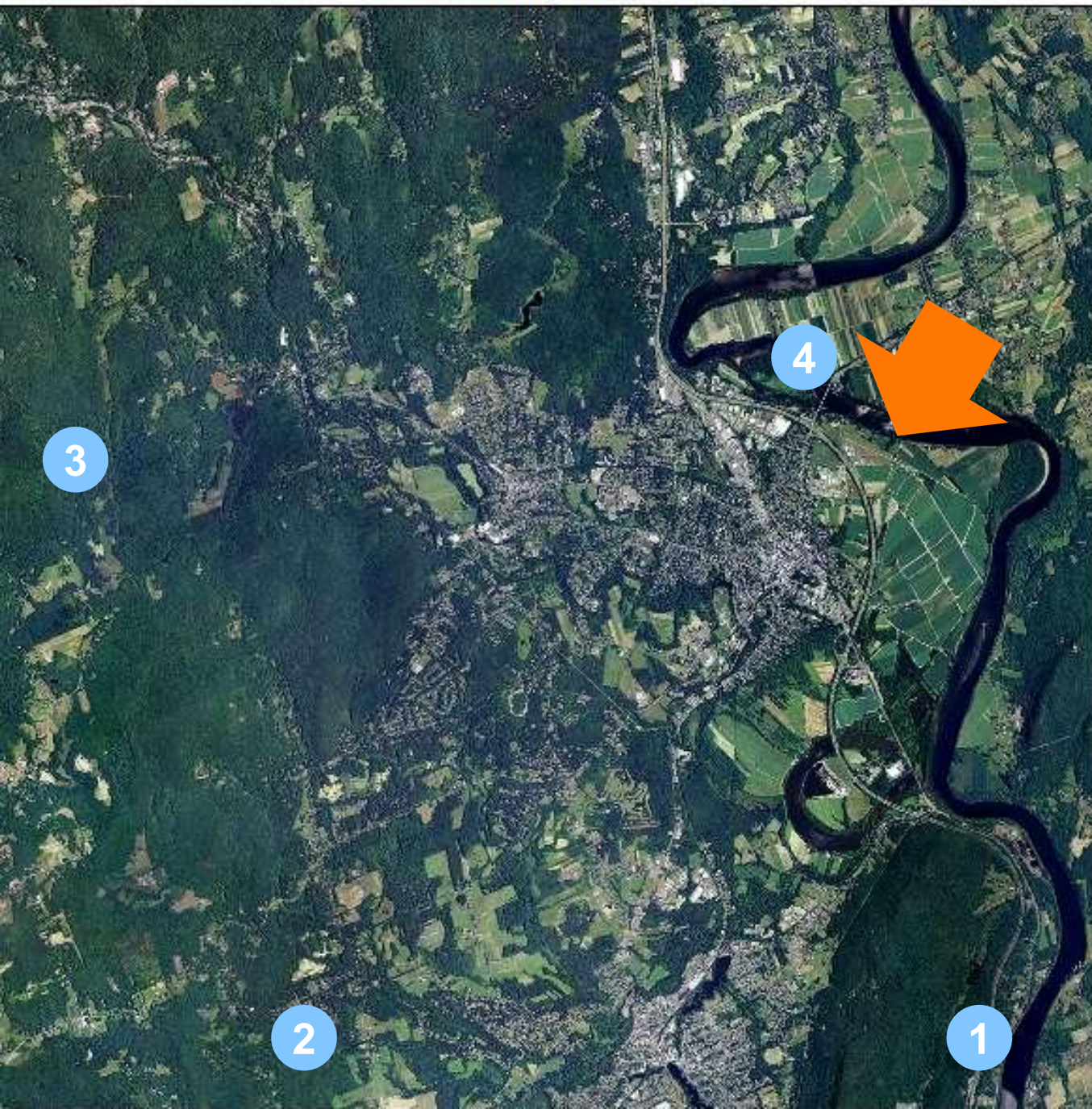
The audience remembers what you say First and Last



Audience Memory Curve

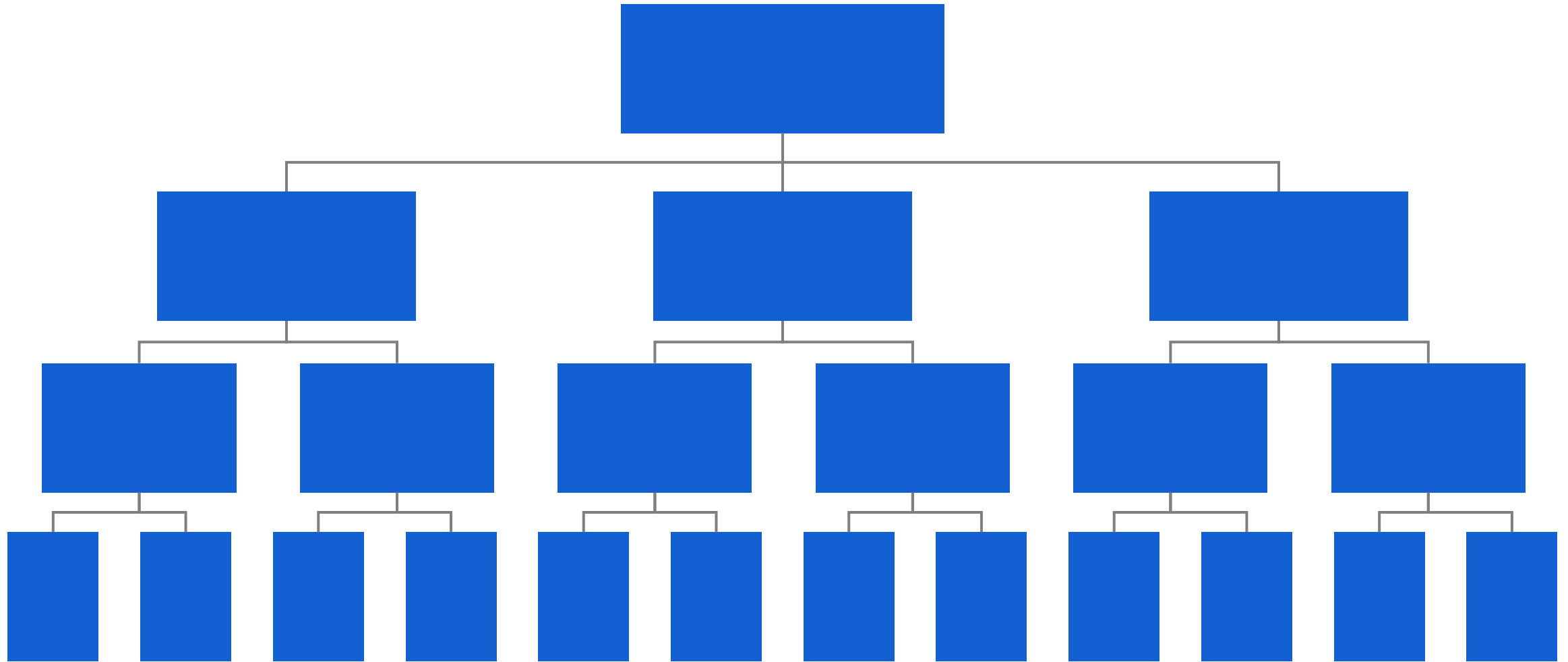






The Northampton Airport is easy to find with the:

- 1 Holyoke Range to the south;*
- 2 Mount Tom to the southwest;*
- 3 The Berkshires to the west; and*
- 4 The Connecticut River flowing parallel to the runway*



Four principles from Neuroscience make it easy for our audience to ‘hear’ and remember our narrative



First and Last

Big to Small

Four Things

Repeat to Remember



Planning for your Capstone Presentation



Developing your Executive Summary and storyboard



Building a persuasive presentation



Delivering an engaging presentation



STORYBOARD

Title			
	1		
2	3	4	5
6	7	8	9
10	11	12	13
14	15	16	17
	Appendix		
18			

The client cares about what's important in valuing the company, not your learning process



Learning Process (Justification of Assumptions)

Strategic Analysis

	<u>Valuable</u>	<u>Rare</u>	<u>Inimitable</u>	<u>Non-Substitutable</u>
Autoship				
Brand Reputation				
Customer Loyalty				
Connect with a Vet Telehealth Platform				
24/7 Customer Service				

C

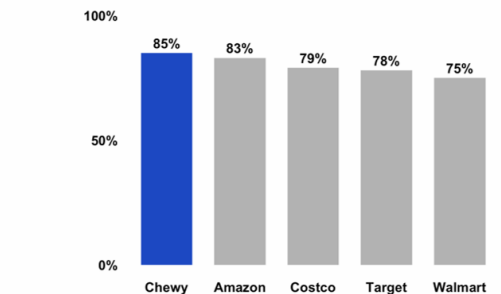
So-What (Executive Summary)

Chewy's unique mix of capabilities allows it to be a one-stop-shop for pet parents, driving high customer satisfaction

C



Exhibit 6: Customer Satisfaction Index of Online Retailers
Customer Satisfaction Index (%)

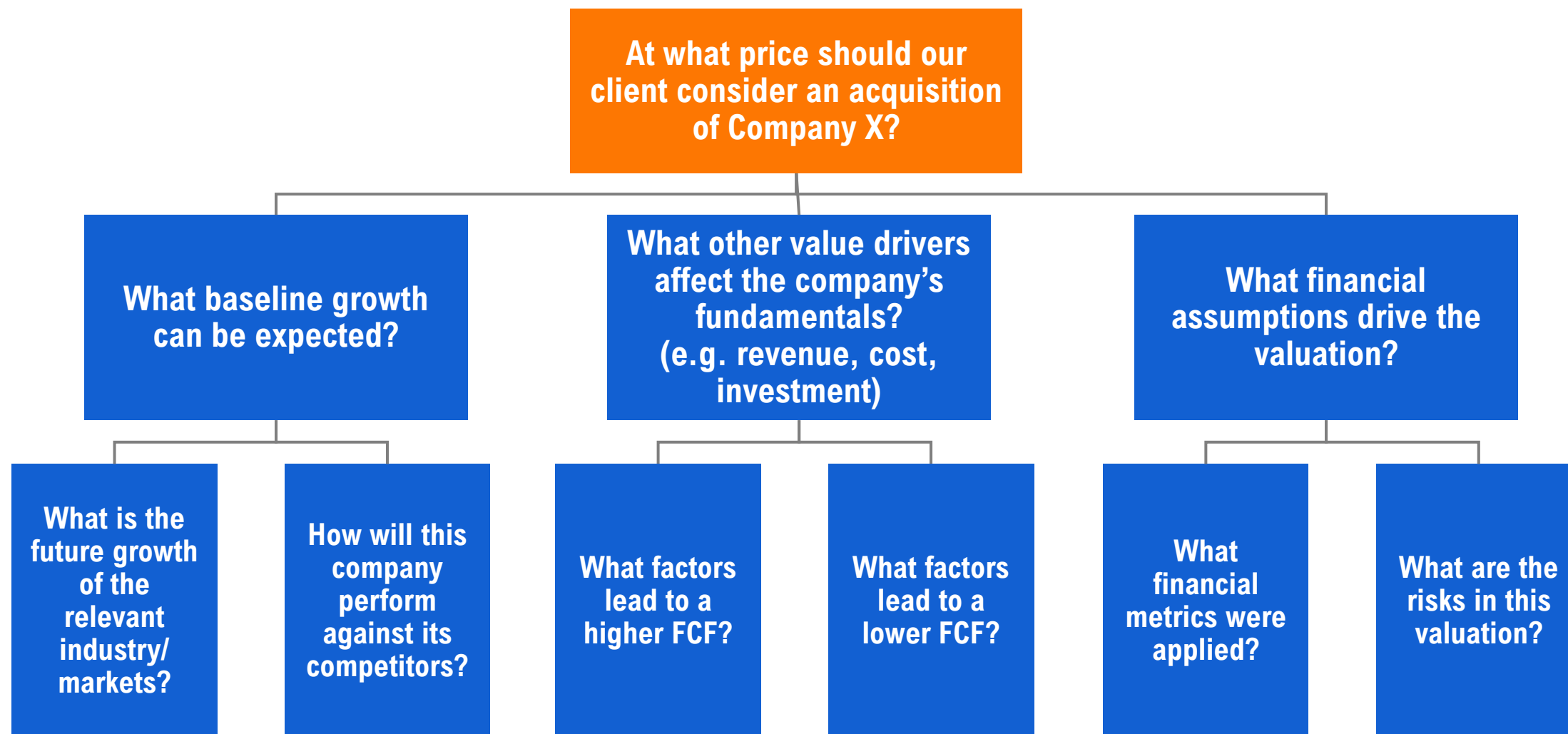


~42,000 responders
Source: The American Customer Satisfaction Index

Evolving Market • Brand Image • Expansion Opportunities • Valuation

9

Your client wants to know what the target company is worth and why



Your Executive Summary answers that Key Question and tells a story to support it



Recommendation on price written as a whole number

**Value Driver 1
(Baseline Growth)**

Value Driver 2

Value Driver 3

**Over/Fairly/Under
Valued**

Your valuation (expressed
in price per share)

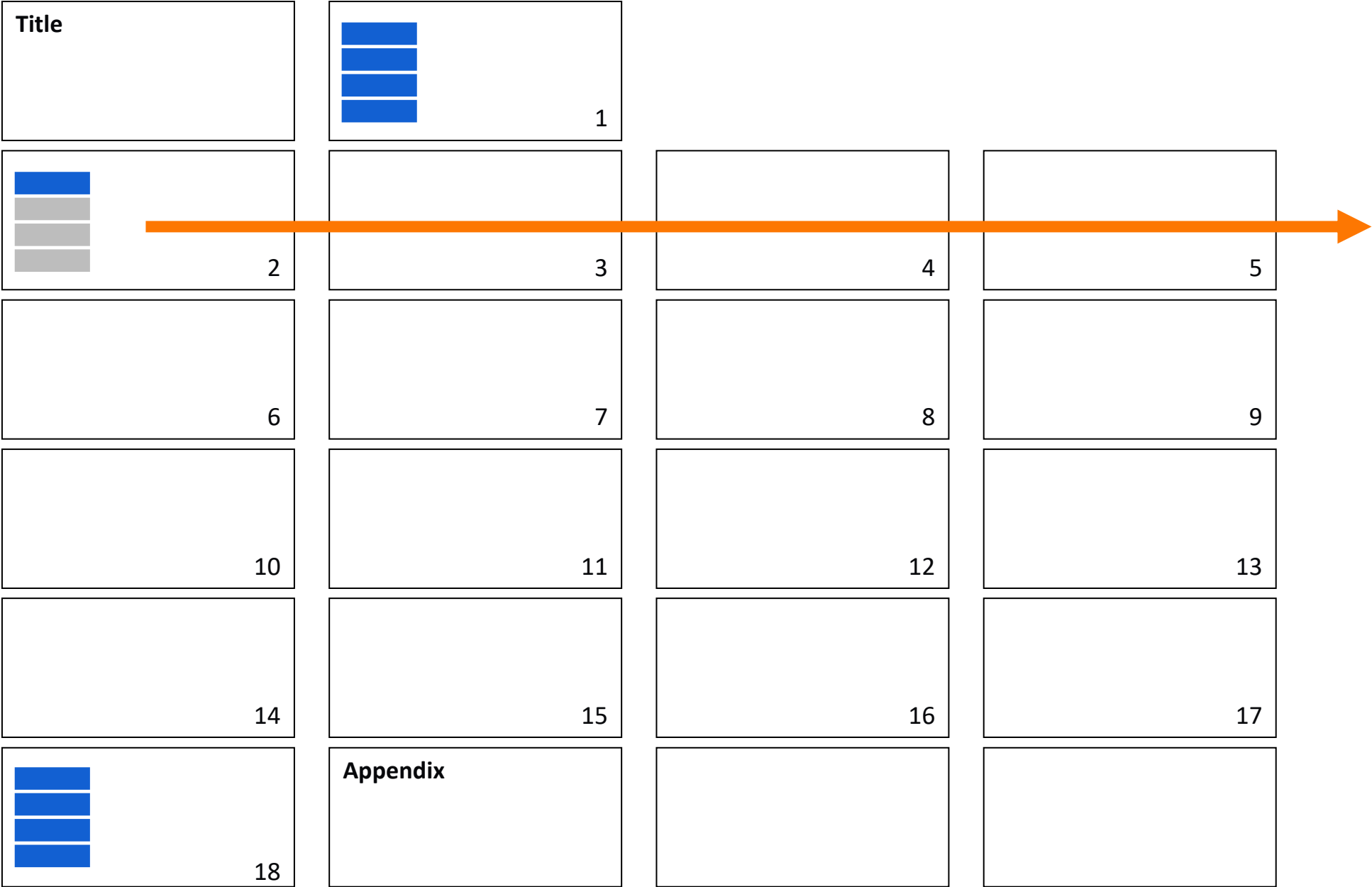
The three primary drivers behind
your valuation of the company,
starting with baseline growth

How your valuation
compares to the current
market value

STORYBOARD

Title	1		
2	3	4	5
6	7	8	9
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14	15	16	17
18	Appendix		

STORYBOARD



STORYBOARD



Title

1

2

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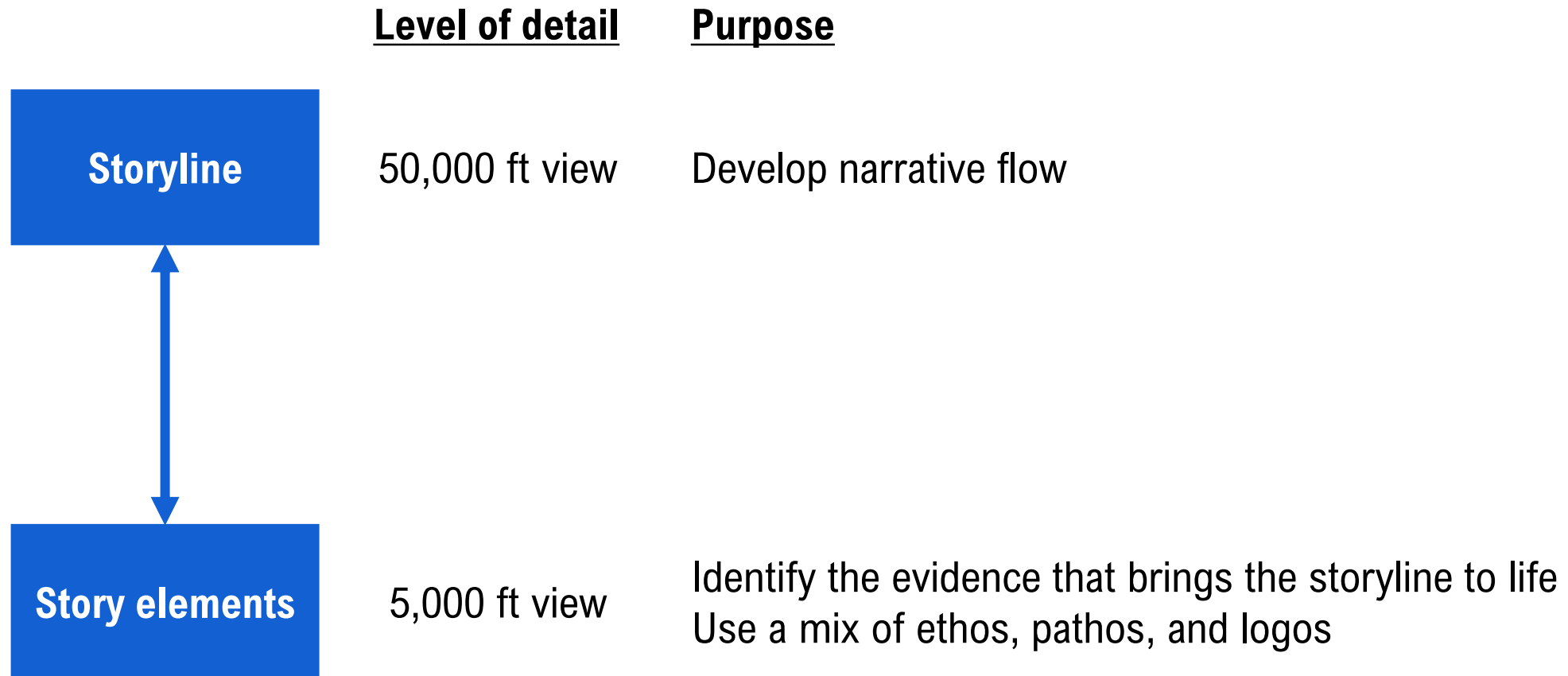
16

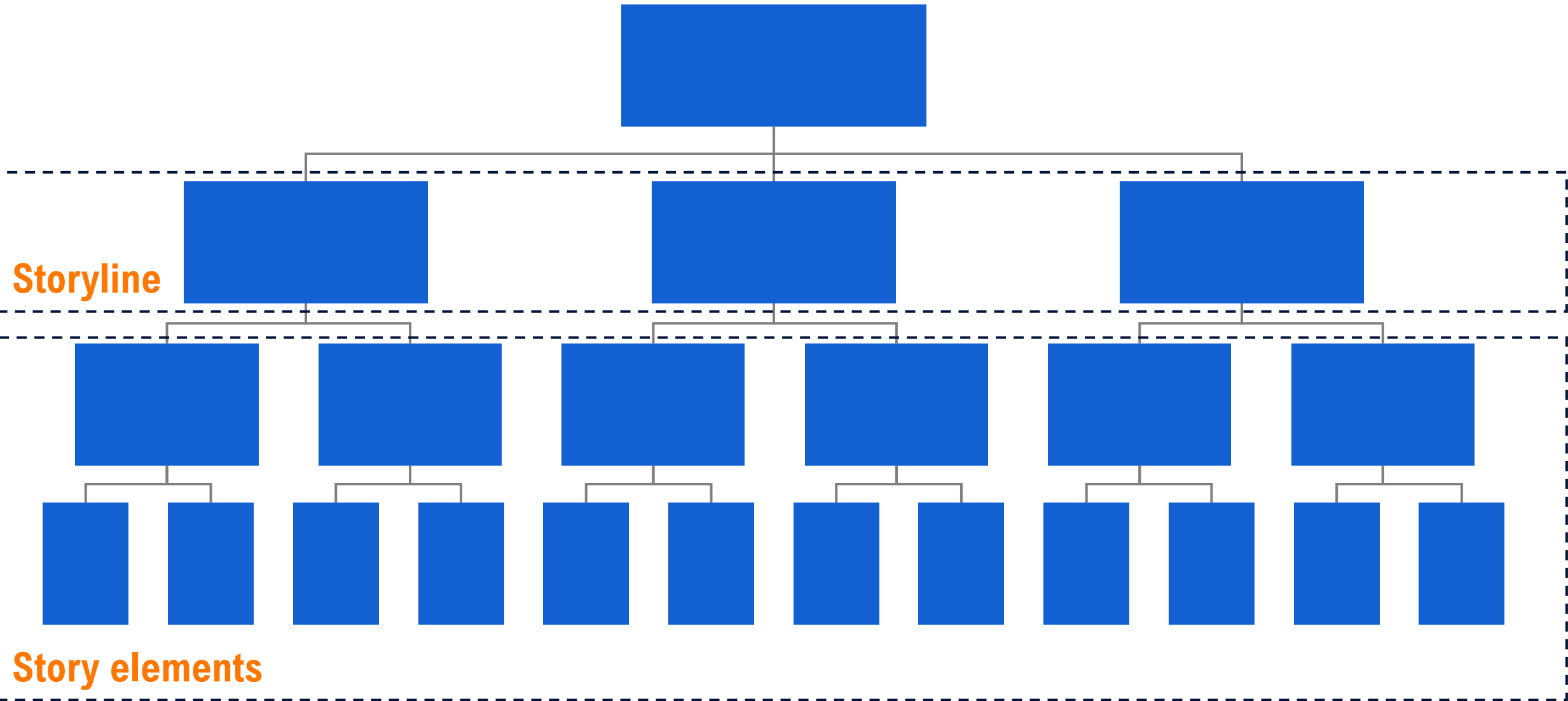
17

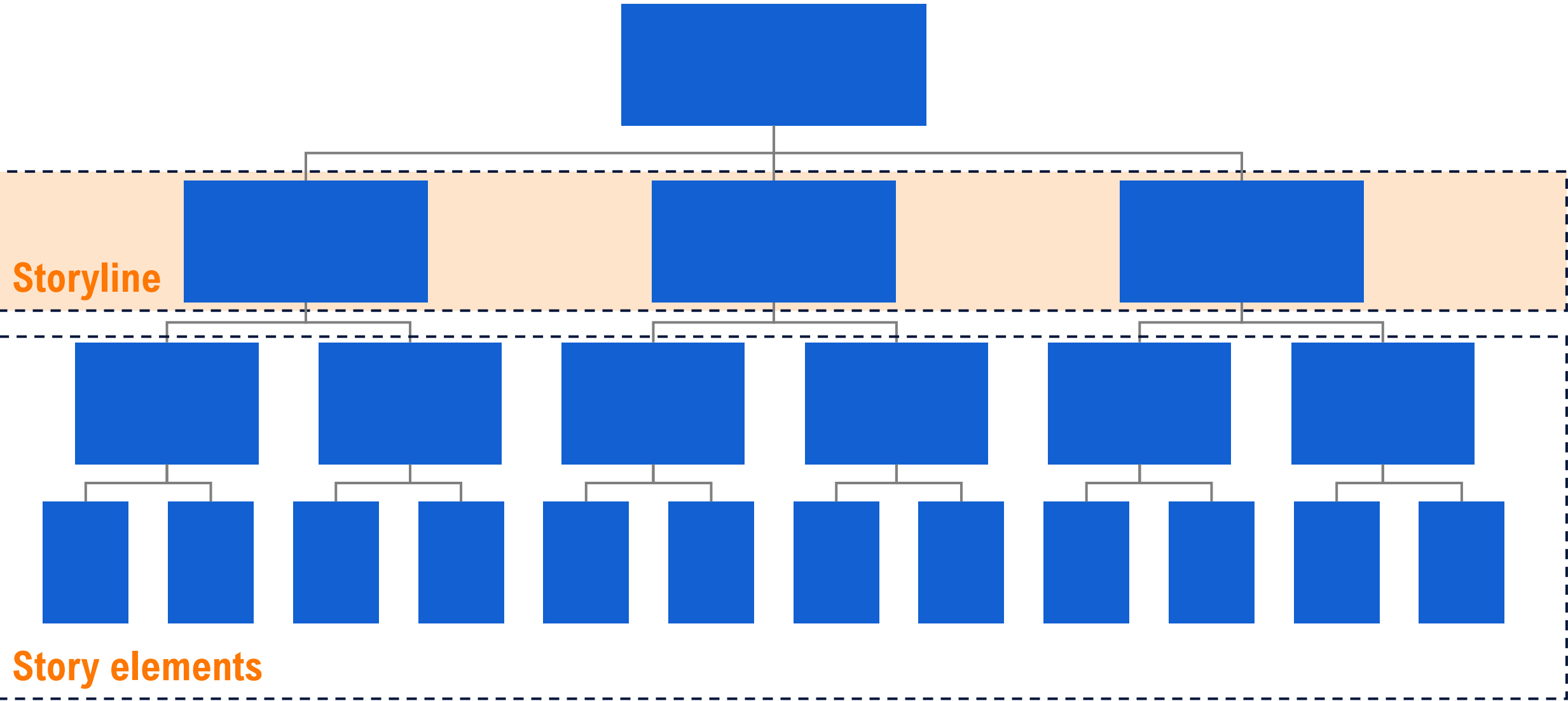
18

Appendix

'Story' operates at multiple levels



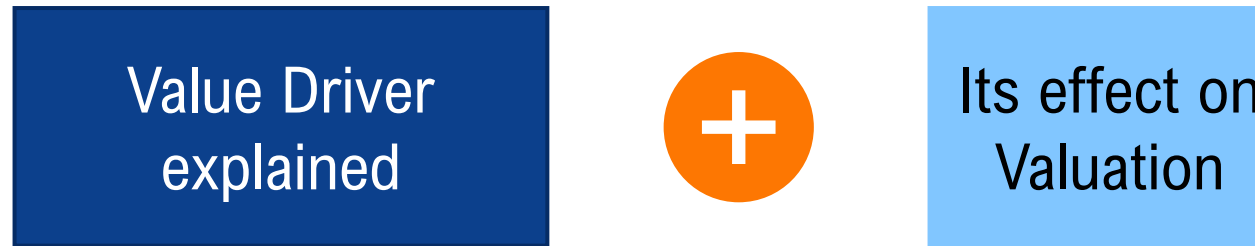




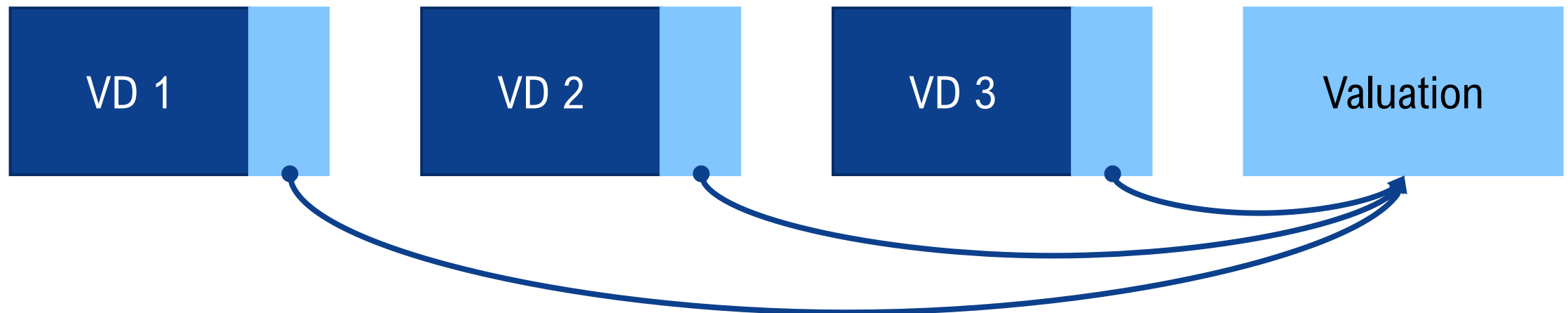
The key to a cohesive Capstone Presentation story is tying each Value Driver to the valuation



Each Value Driver:



Entire presentation:





“

A value driver is **anything that has the potential to enhance company value**, either by increasing cash flows or reducing risk. While there are potentially hundreds of value drivers for any given business (with complex interactions among them) your job is to **identify the three most important value drivers** for your company and link them to its value creation process in a compelling way.

Second, note that **each value driver is anticipated to impact fundamentals: revenues, operating costs, investment, etc.** These fundamentals represent the financial data necessary to determine the value of a company.

- Capstone Project Guide



Company Valuation

Despite market sensitivity to housing starts, BLDR is well positioned and should be valued at \$152 per share, 12% above its current share price

Volatile market

- BLDR sells lumber, windows and other products to **residential construction** contractors
- Recent **interest rate hikes** have led to a **decline in housing starts** and lower demand
- However, forecasts suggest that the market will begin to recover in 2024

Strategic acquisitions

- BLDR is one of the largest distributors of lumber and building materials in the US
- The company has **grown through acquisition**, including **14 acquisitions in FY22**
- As a result, BLDR has expanded its **geographic reach** and strengthened its **sales mix**

Improved operations

- **Digital product initiatives** and ongoing manufacturing **automation** are increasing operational efficiency
- Operating **margins expanded by 11 percentage points from 2020-22**, creating flexibility for BLDR during this time of uncertainty

Currently undervalued

- While BLDR will see near-term revenue declines, the longer-term demand outlook and strong underlying margin position creates **significant cash flow opportunities**
- Based on baseline assumptions, the stock is currently **undervalued by 12%**

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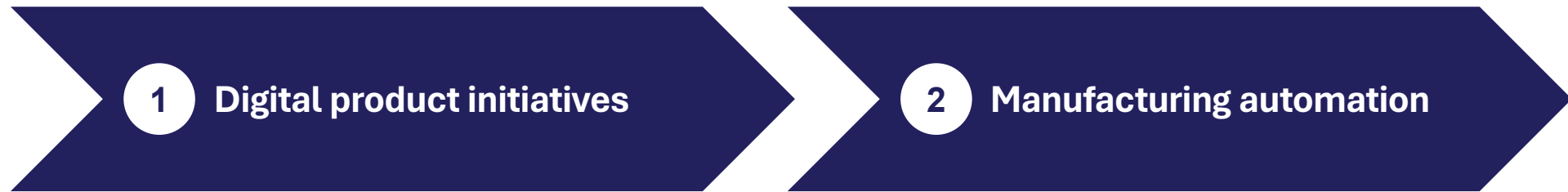
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BLDR is focusing on two opportunities to expand its operating margins



1

BLDR is adding digital product capabilities that focus on contractors' workflow and distinguish it from competitors

Digital Initiatives

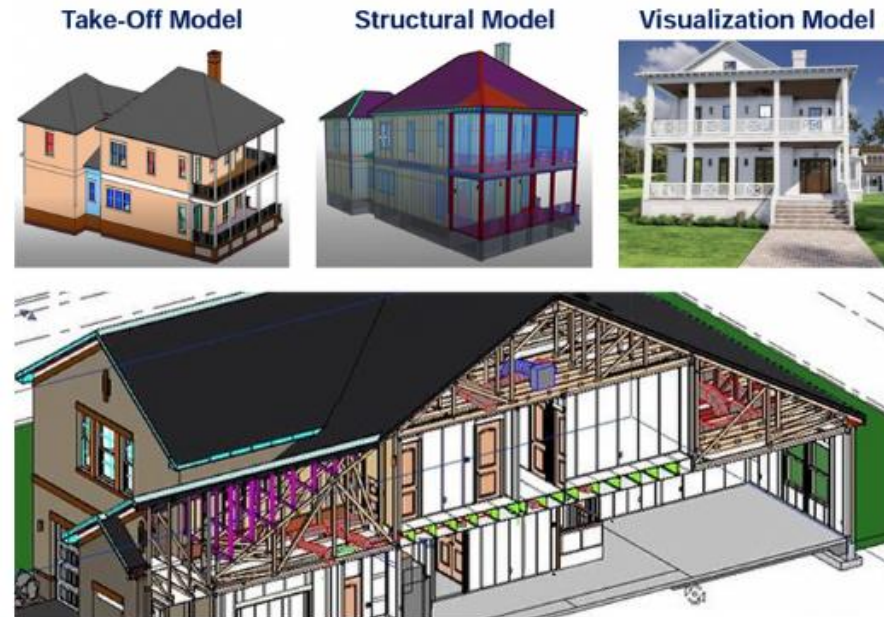
Offers a suite of tools that integrate into a customers' workflow, supporting:

- Drafting
- Building Optimization
- Home Configuration

Expanding pre-cut and pre-fab product offerings such as **Ready-Frame** that:

- Minimize product waste
- Enable faster builds
- Reduce on-site cutting needs

READY-FRAME®



“The building products market remains one of the most fragmented – and least digitized – industries in the world.”

- McKinsey & Company, June 2022

Investments in manufacturing plant automation has reduced production time and increased inventory turnover

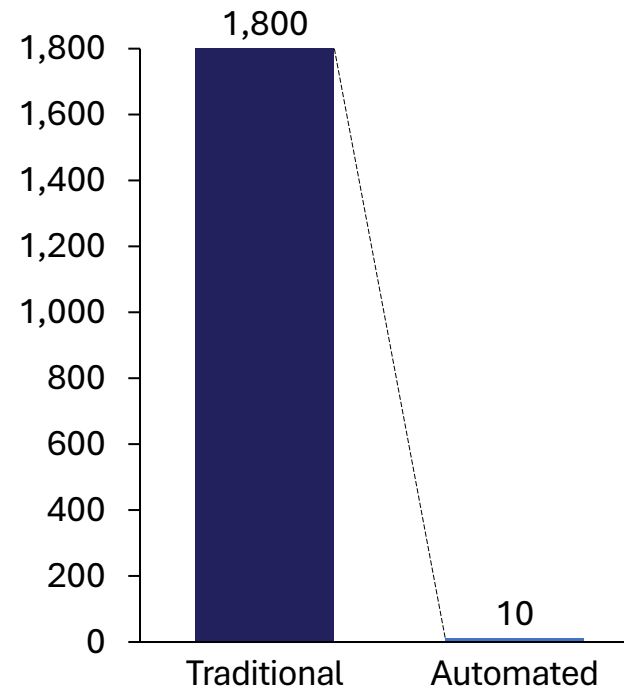
With automation setup time drops from 30 min to 10 seconds

Inventory Turnover has improved by 10 days over past 2-years

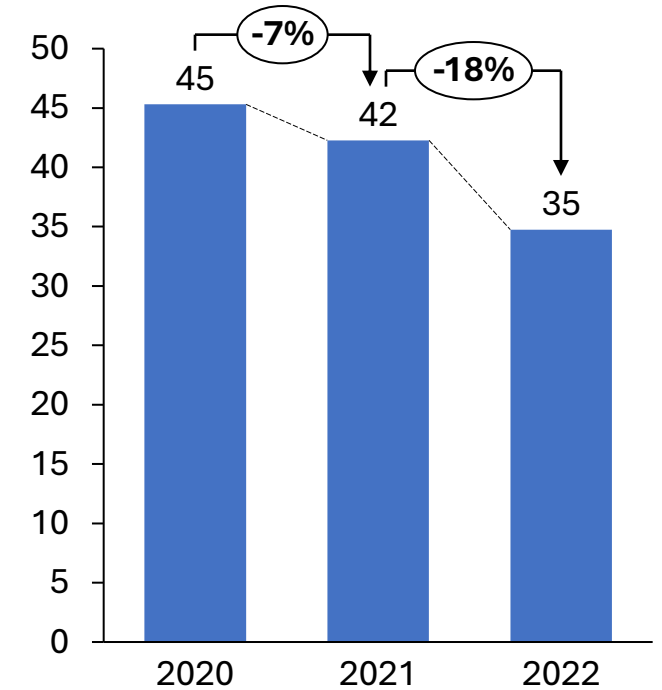
Updated BLDR Millwork Facility



Truss Setup Time
(Seconds)



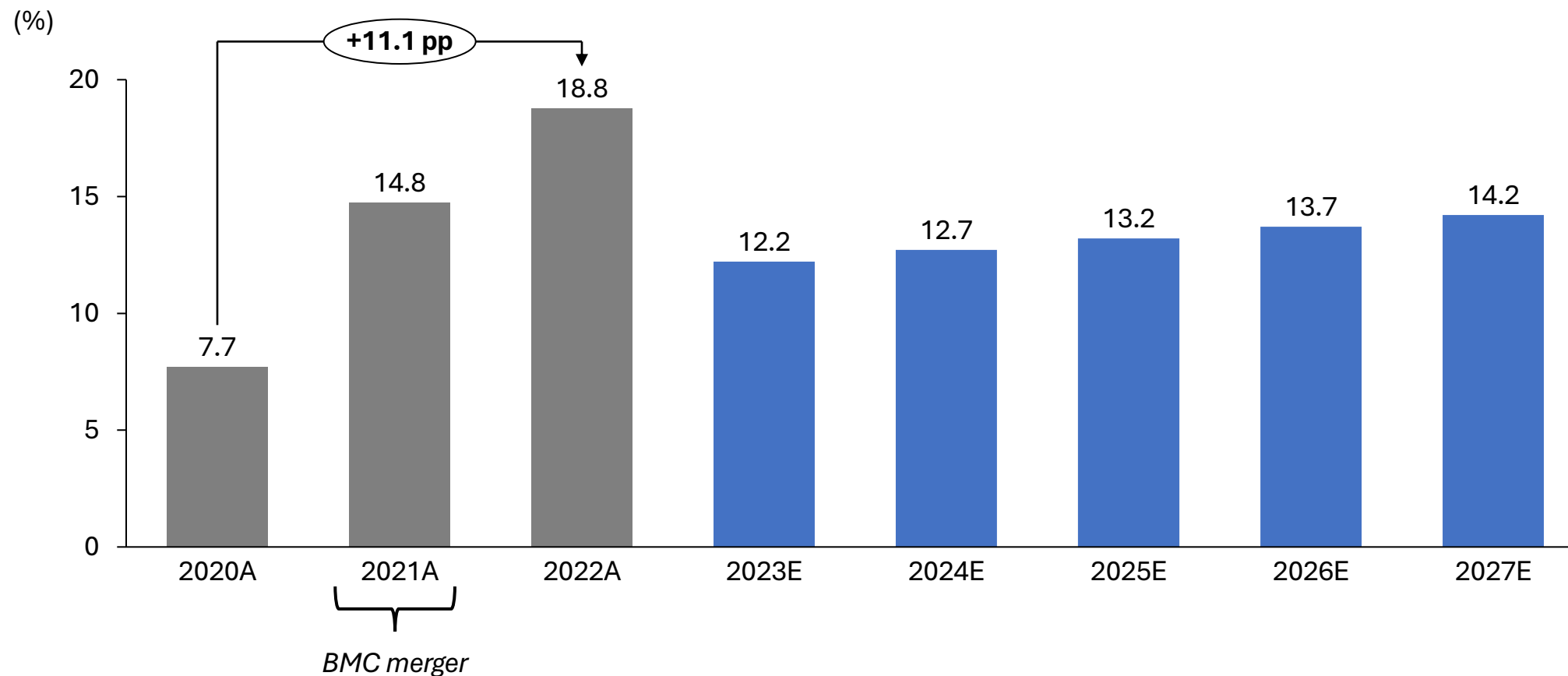
Inventory Turnover
(Days)



Source: Company filings, team analysis

BLDR expanded its operating margin by 11 pp between 2020-22; given near-term demand uncertainty our forecast is conservative

BLDR Operating Margin



Source: Company filings, team analysis

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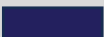
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BLDR's acquisition strategy and operating investments should allow it to weather the short-term impact of declining market conditions

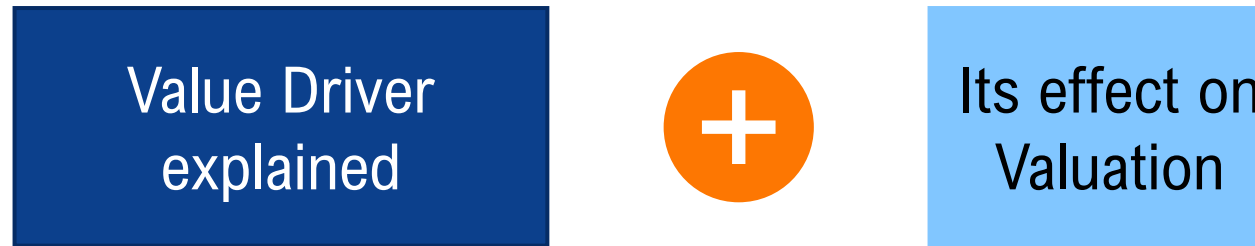
	Volatile Market	Strategic Acquisitions	Operational Efficiency
Revenue			
COGS			
Operating Margin			
CapEx			

Source: Company filings, analyst reports, team analysis

The key to a cohesive Capstone Presentation story is tying each Value Driver to the valuation



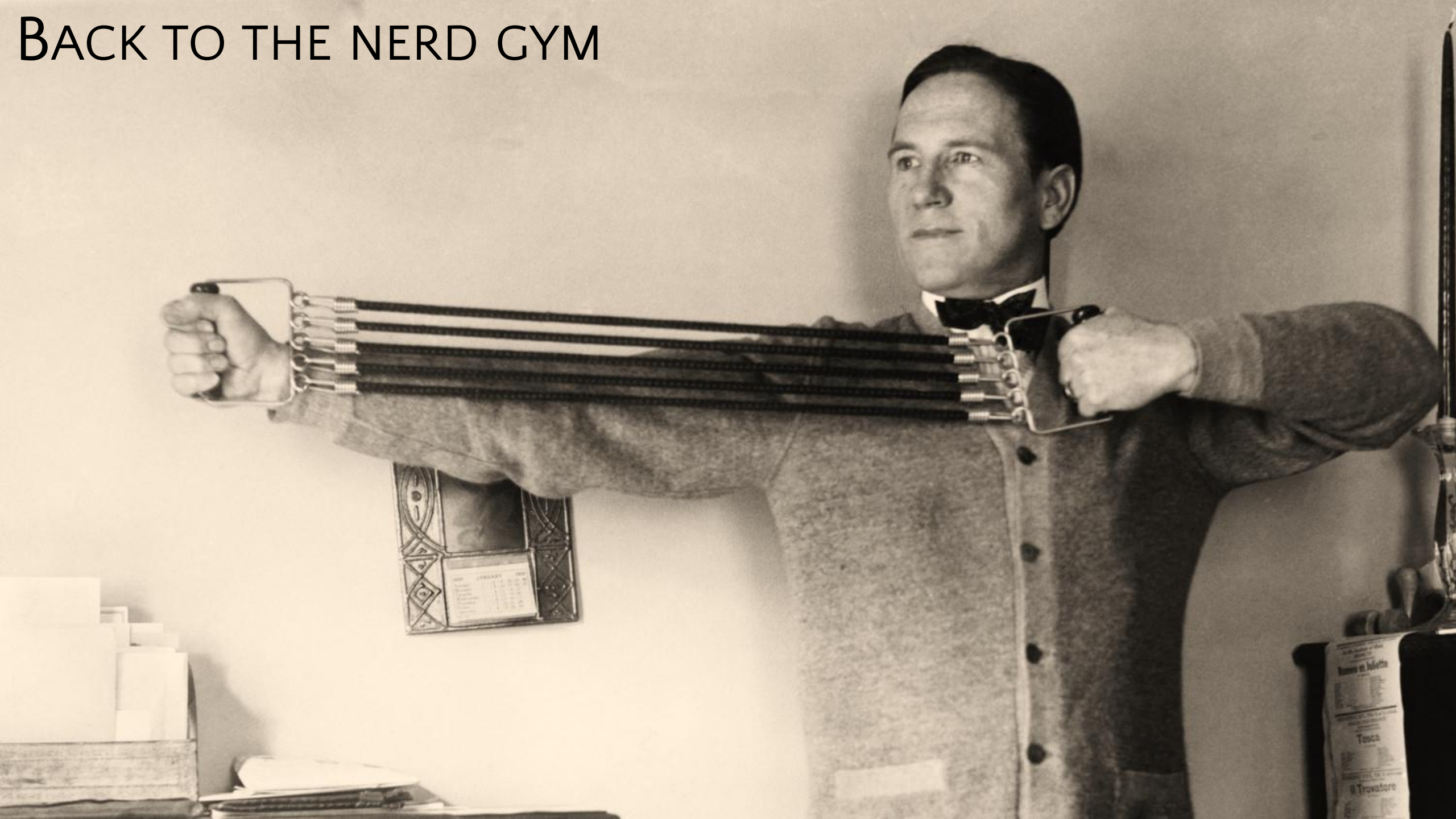
Each Value Driver:



Entire presentation:



BACK TO THE NERD GYM



Value Driver Exercise



Step 1: Draft a storyline

A white arrow pointing from the first step to the second step.

Step 2: Say it out loud

A white arrow pointing from the second step to the right.

Value Driver Exercise



Step 1: Draft a storyline



Split into pairs:

- Identify the **three (3) most important value drivers** for your target company (starting with baseline growth)
- Outline **how** each Value Driver **informs the DCF assumptions**
- Call out which **components** of the DCF are **impacted**

Step 2: Say it out loud



Value Driver to Valuation worksheet

BLDR example

Impact on Valuation Value Driver	How does this Value Driver inform your DCF assumption? (e.g. Market growth rate, historical margins, etc.)	What component(s) of the DCF does this value driver impact? (e.g. Revenue, Operating Cost, Margin, Investment, Risk, Other)
Volatile Market	- Housing starts have declined as interest rates have risen - Rebound expected in 2023 with forecasted average growth in the lumber & building materials category of 5%	Revenue
Strategic Acquisitions	- Acquisitions will drive revenue growth that is faster than market - Shift to higher value-added products, and mix shift away from commodity lumber, will expand gross margins	- Revenue - Gross margin - Investment
Improved Operations	Increased automation and faster setup will reduce overall costs and improve margins	- Investment - Operating cost / margin - Working capital

Value Driver Exercise



Step 1: Draft a storyline



Step 2: Say it out loud

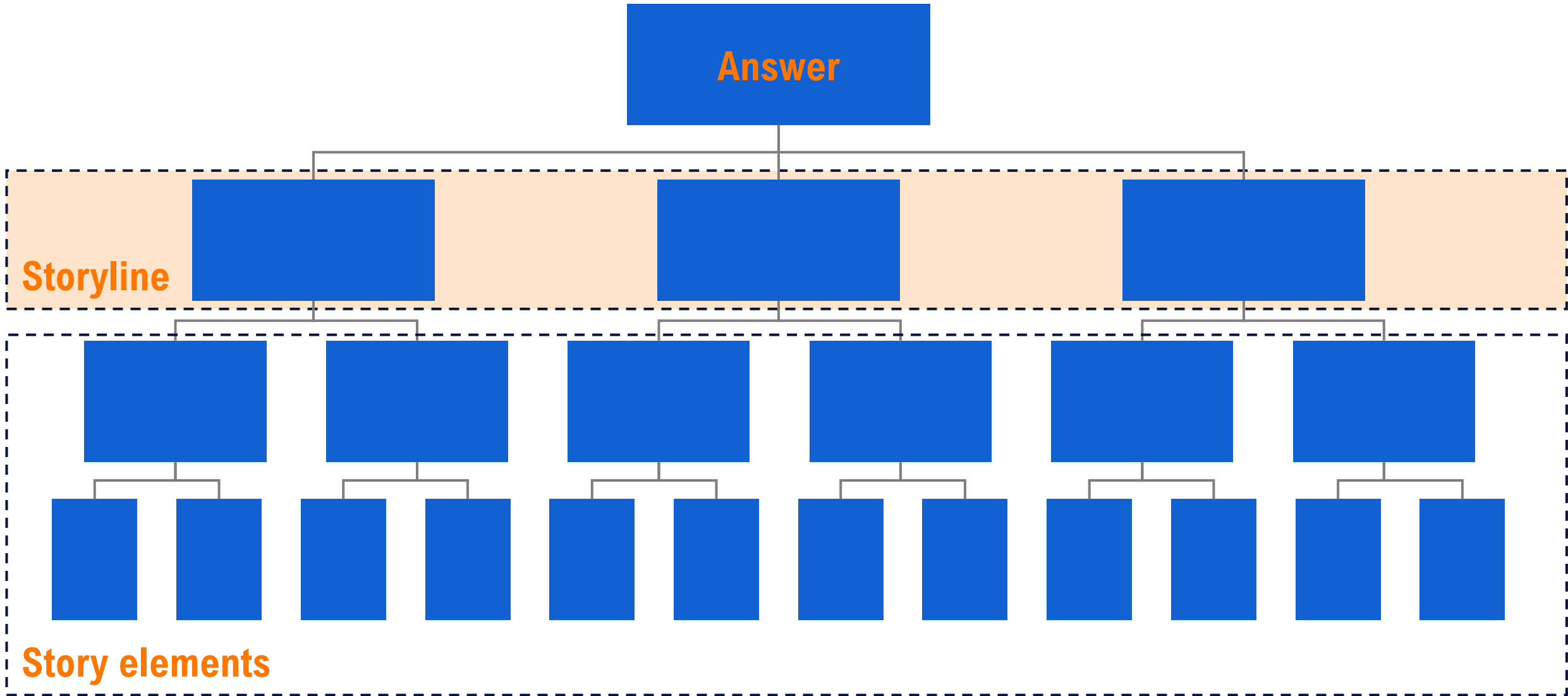


As a team:

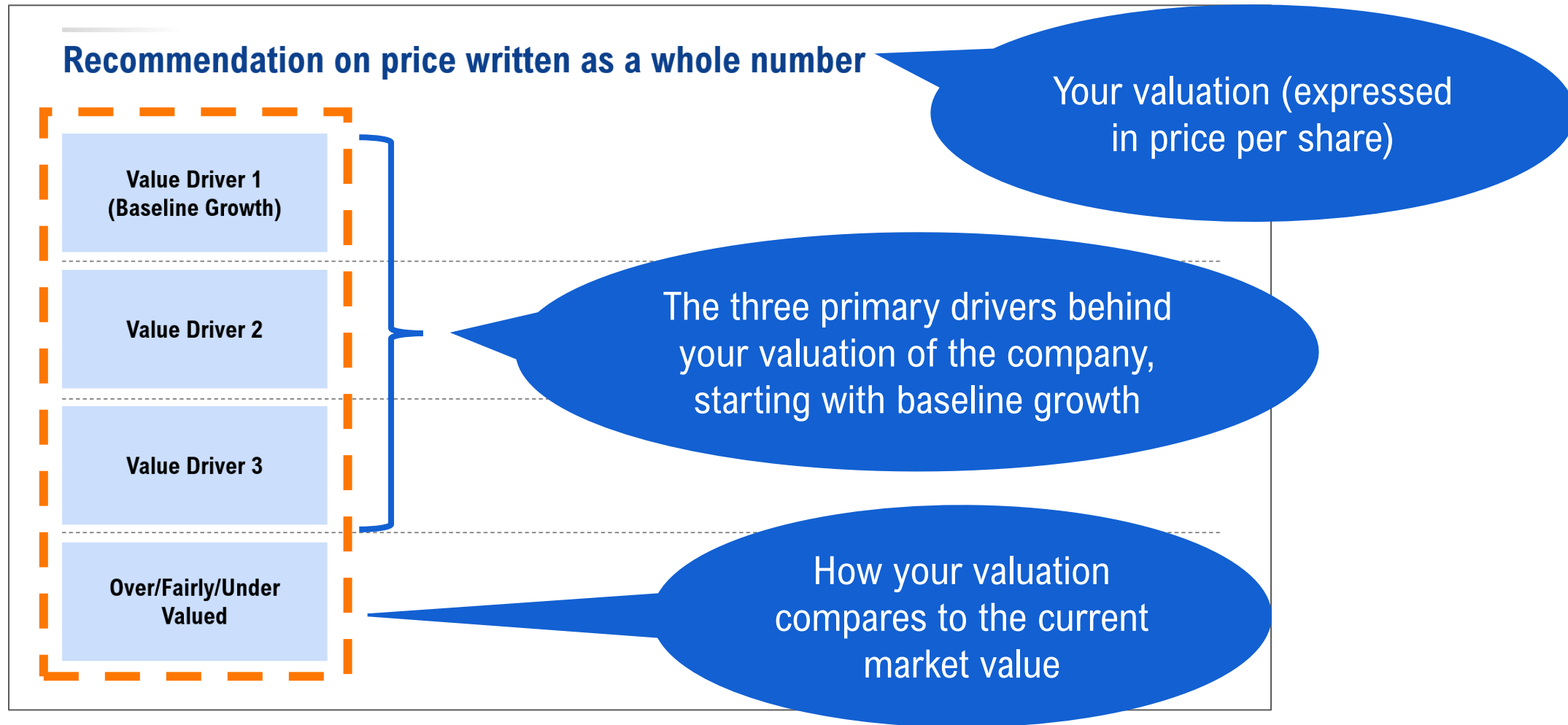
- **Each pair takes 1-minute to present** their storyline verbally to the rest of the team (*practice Answer First!*)
- **Discuss overlap** and **differences**
- Begin to **combine perspectives** into a single storyline



At what price should our client consider an acquisition of Company X?



Your Executive Summary answers that Key Question and tells a story to support it



Despite recent growth, due to uncertainty and market trends, On should be valued at \$28, 48% below current market value



Industry

- Industry outlook for lifestyle and performance footwear remains positive
- The global footwear market is projected to grow by **3.95% CAGR** from 2025 to 2029
- Shifting consumer preferences are opening **new market segments** with growth spread across many players

Competition

- On holds **limited market share** in a crowded field
- Dominant players like **Nike and Adidas** control nearly 50% of the market
- Sustaining On's rapid growth against established competitors
- Smaller competitors

Investments

- Heavy investment in R&D
- Rising **SG&A** expenses
- Pricing power remains uncertain as competitors scale more efficiently

Valuation

- On's ability to **differentiate**, as well as maintain high growth and healthy margins is questionable in such a competitive space
- A **\$28 price target, 48% below** current market value, reflects more realistic growth assumptions

Topical main point headers.
Not clear how they support the “answer”.

Despite recent growth, due to uncertainty and market trends, On should be valued at \$28, 48% below current market value



Industry Outlook

Market Share Change

Margin Shifts

Valuation

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- Shifting consumer preferences are opening **new market segments** with growth spread across many players
- On holds **limited market share** in a crowded field
- Dominant players like **Nike and Adidas** control nearly 50% of the market
- Sustaining On's rapid growth against well-funded competitors
- Smaller competitors are also gaining traction
- Heavy investment in R&D and marketing
- Rising **SG&A expenses** as the company scales
- Pricing power remains uncertain as competitors scale more efficiently
- On's ability to **differentiate**, as well as maintain high growth and healthy margins is questionable in such a competitive space
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Stronger headers, however, the point-of-view isn't explicit, e.g. is "market share change" positive or negative?

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Stable Growing Industry

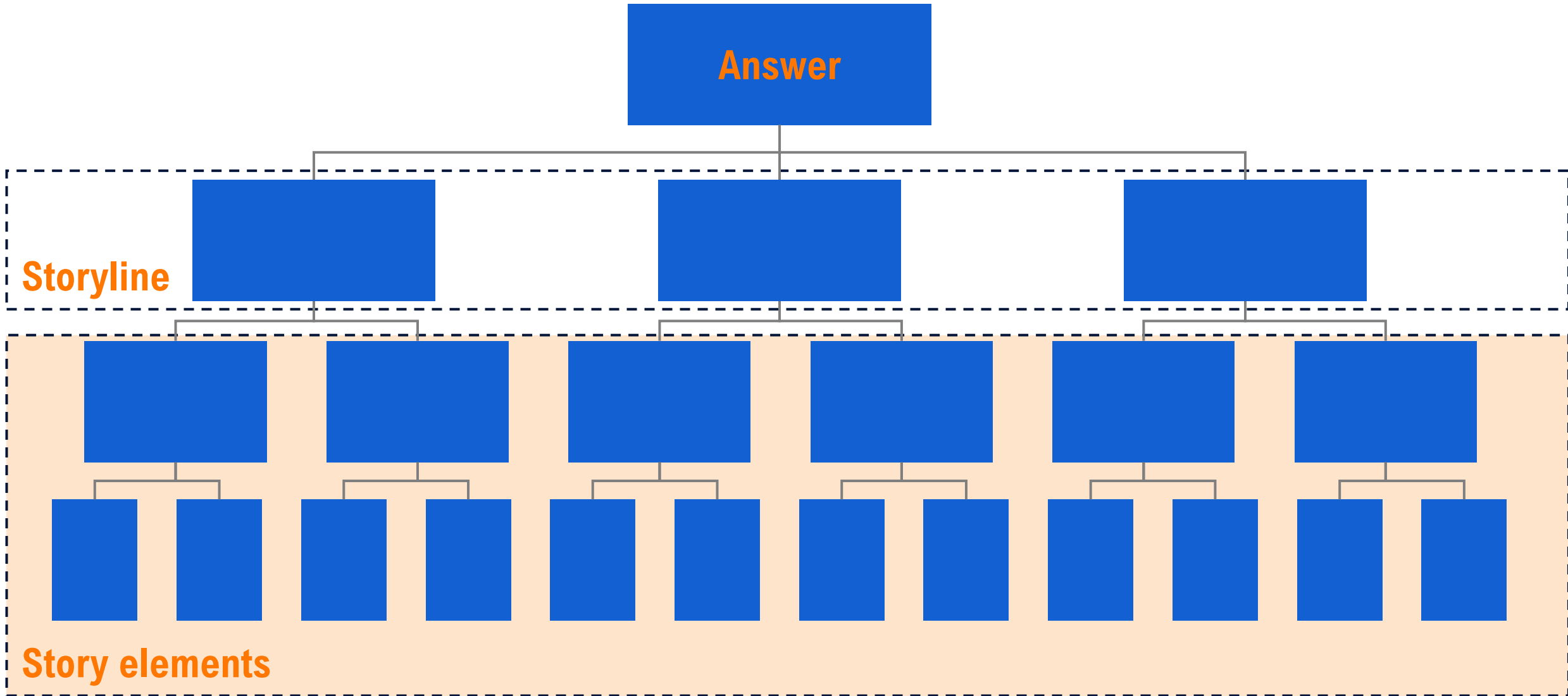
Small Market Share

Margins Under Pressure

Currently Overvalued

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Each point makes standalone sense:
supporting argument is clear at-a-glance



Despite recent growth, due to uncertainty and market trends, On should be valued at \$28, 48% below current market value



Stable Growing Industry

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- The global footwear market is projected to grow by **3.95% CAGR** from 2025 to 2029
- Shifting consumer preferences are opening **new market segments** with growth spread across many players

Small Market Share

- On holds **limited market share** in a crowded field
- Dominant players like **Nike and Adidas** control nearly 50% of the market
- Sustaining On's rapid growth will be increasingly difficult against entrenched competitors
- Smaller companies are disproportionately affected by **tariffs**

Margins Under Pressure

- Heavy investments in **sustainable materials** and **marketing** drive up costs
- Rising **SG&A expenses** put pressure on margins
- Pricing power remains uncertain as competitors scale more efficiently

Currently Overvalued

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Aristotle recommended using a mix of ethos, pathos, and logos



Ethos



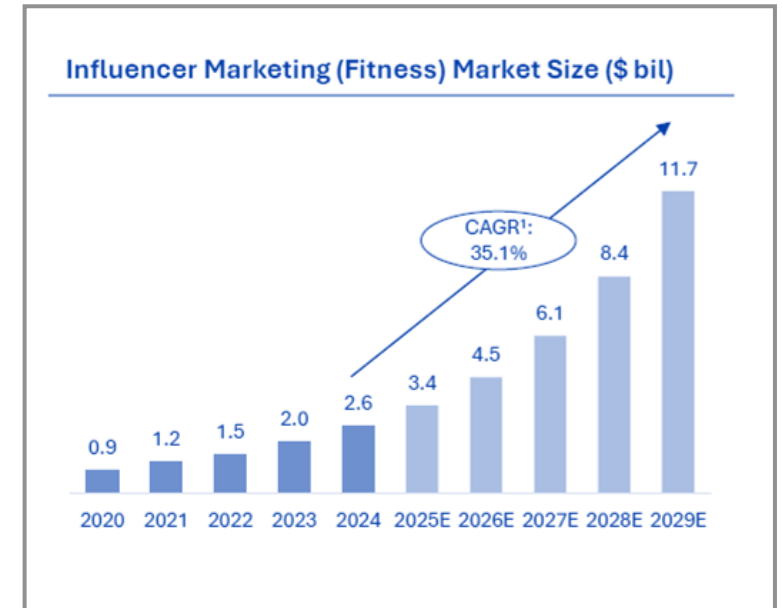
Establish **trust, expertise, and character**. Built through experience, rank, goodwill, association, and common ground.

Pathos



Connect to audience emotions by evoking **feelings** like empathy, pride, or urgency. Built with vivid language, stories or personal anecdotes.

Logos



Use **facts, data**, examples, and logical reasoning to make the case compelling and credible.

Draft your Executive Summary



Recommendation on price written as a whole number 

Value Driver 1 (Baseline Growth)	
Value Driver 2	
Value Driver 3	
Over/Fairly/Under Valued	

Template available for each team
bit.ly/ExecSums

Step 1

As a team:

- **Draft the headline** and, if necessary, **refine** the **Value Driver language** so it makes standalone sense

Step 2 *(if time allows)*

Divide and conquer:

- **Write the bullets** for each section, picking a mix of evidence (ethos/pathos/logos)

As you review the ExecSum storyline, ask yourself...



- Does the headline clearly **state the share price**, and is it **limited to two lines**?
- Are the headers of the four sections written in **declarative, parallel language**?
- Does the first section provide market context and **illustrate the forecasted (baseline) market growth**?
- Does the **order** of the value drivers make sense?

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**Be ready to share a draft of your ExecSum
slide at the ExecSum Lab
(this afternoon or tomorrow)**



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6	7	8	9
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18	Appendix		

Once you're satisfied with your narrative, it's time to decide how to use visuals to support your story



Company Valuation

1

Despite market sensitivity to housing starts, BLDR is well positioned and should be valued at \$152 per share, 12% above its current share price

- Volatile market**
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3

Within the US construction market, BLDR operates in the residential segment

4

The residential construction industry is under pressure, with a decline in housing starts correlating with the recent rise in interest rates

5

While housing starts are forecast to remain flat, Lumber & Building Materials resellers will return to ~5% per year growth in 2025

6

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7

The Lumber and Building Material supply sector is highly fragmented; 82% of players have revenue of less than \$100M per year

8

Within this sector, BLDR is the market leader offering a range of products and services targeted to residential building contractors

9

Since 2015, the company has used a series of strategic mergers and acquisitions to expand its footprint, product offerings and capabilities

10

Strategic tuck-in acquisitions have focused on increasing geographic reach in high growth markets

11

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12



***A presentation is a story,
with the data to support it***

Horizontal Logic: Use your headlines to tell the story



Horizontal Logic

Reads like a story, left to right



Vertical Logic: Slide content should directly support the headline



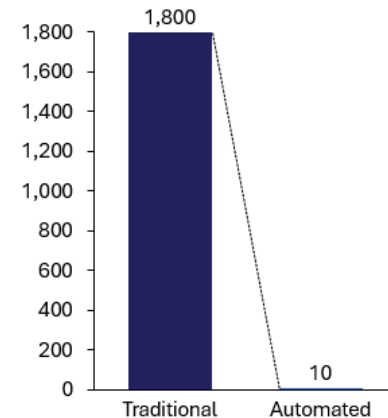
2

Investments in manufacturing plant automation has reduced production time and increased inventory turnover

Updated BLDR Millwork Facility

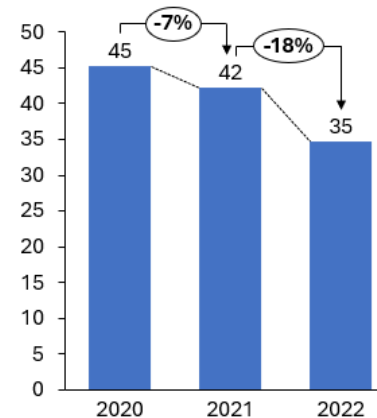


Truss Setup Time
(Seconds)



With automation setup time drops from 30 min to 10 seconds

Inventory Turnover
(Days)



Inventory Turnover has improved by 10 days over past 2-years

Source: Company filings, team analysis



Volatile Market * Strategic Acquisitions * Improved Operations * Currently Undervalued

28

Vertical Logic

One idea per slide

Everything directly supports the headline

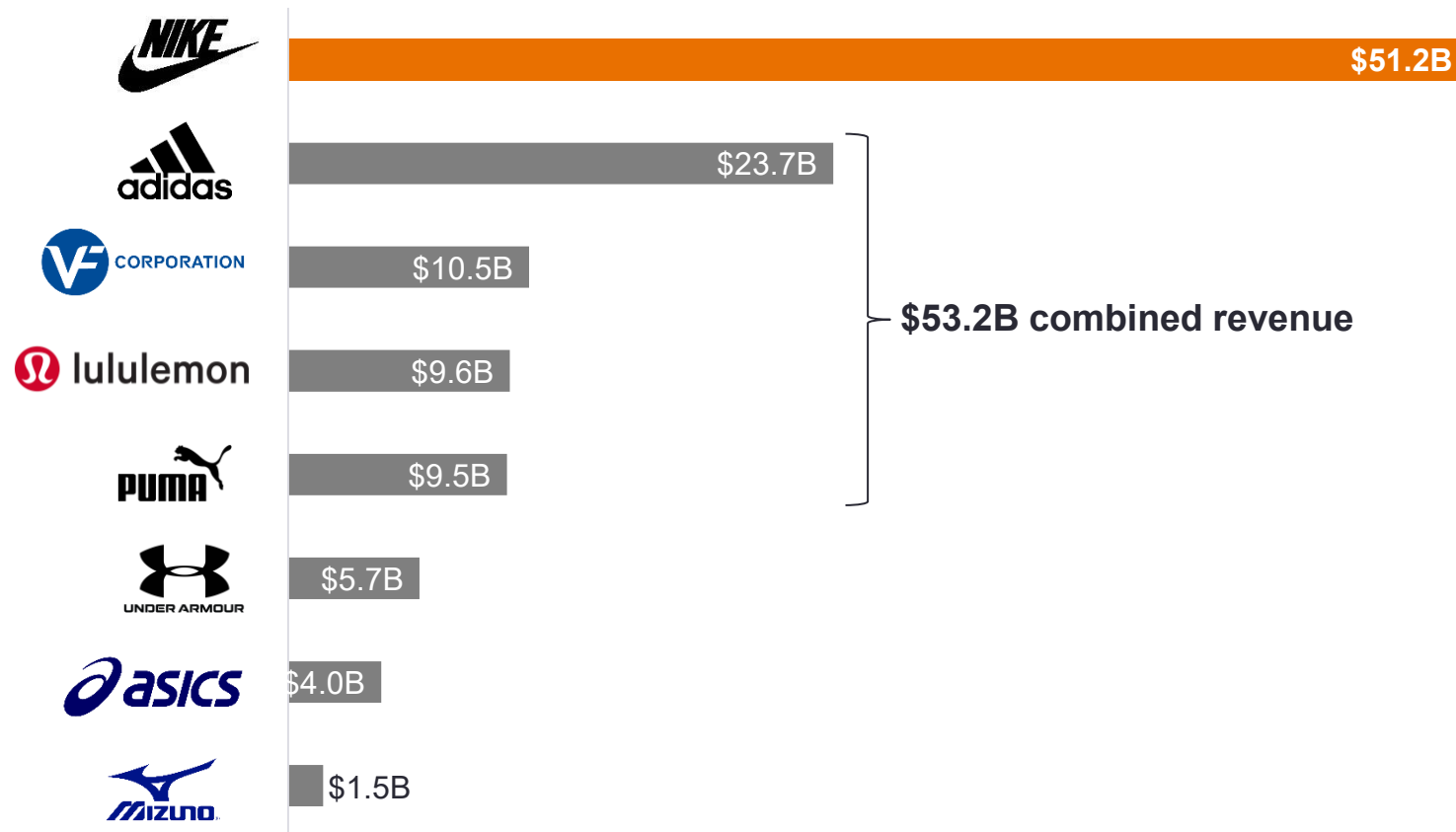
Strong headlines share four characteristics



- Highlight the ‘so-what’ for the audience
- Make stand-alone sense
- Maximum of two lines at top of page
- Tie directly to the Executive Summary

Sporting goods companies' revenue in 2023

Billions of U.S. dollars



Source: Statista; Team Analysis

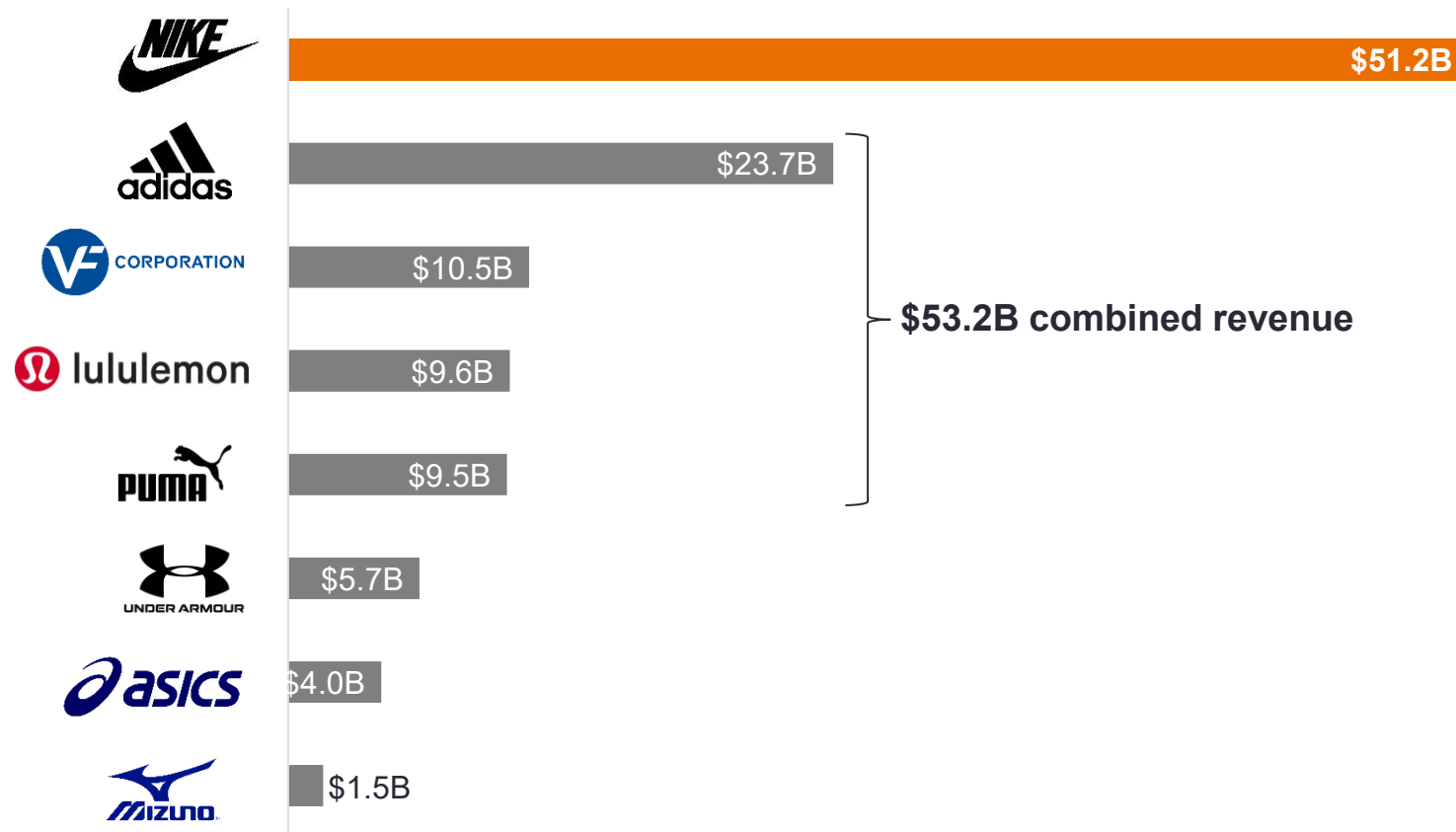
Growing Industry • **Increased Competition** • Increased Costs • Overvalued

Nike is the world's largest sportswear company, with revenue comparable to its next four largest competitors combined



Sporting goods companies' revenue in 2023

Billions of U.S. dollars



Source: Statista; Team Analysis



Nike Air Jordan 1



Nike Air Force 1



Nike Dunk Low

Competitors



Onitsuka Tiger Mexico 66



On Cloudrunner



Hoka Cliftons

Growing Industry • **Increased Competition** • Increased Costs • Overvalued

The market is changing, but Nike remains in the past as it continues to push aging designs



Nike Air Jordan 1



Nike Air Force 1



Nike Dunk Low

Competitors



Onitsuka Tiger Mexico 66



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Hoka Cliftons

Growing Industry • **Increased Competition** • Increased Costs • Overvalued



Two next steps as you build out your presentation



1 Refine your Executive Summary and be ready to share it during the ExecSum Lab

Recommendation on price written as a whole number 

Value Driver 1 (Baseline Growth)	
Value Driver 2	
Value Driver 3	
Over/Fairly/Under Valued	

1

2 Develop your storyboard by writing headlines for each chapter (divide and conquer)

STORYBOARD

Title	 1		
 2			
 6			
 10			
 14			
 18	Appendix		



Planning for your Capstone Presentation



Developing your Executive Summary and storyboard



Building a persuasive presentation



Delivering an engaging presentation